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Project Management 2.3

The Importance of the Business Case

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Learning Outcomes

- By the end of this session, you will be able to:
  - Identify critical components for consideration
  - Compile a Business Case (BC)

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How important is the Business Case?

- In an ever changing world, it is a single point of consistency. If my project were expressed as a function on a four-dimensional Cartesian coordinate system, the Business Case, at the moment it was authorised, would be (0,0,0,0)

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What is a Business Case?

Definitions from the web

- A Business Case captures the reasoning for initiating a project
- The Business Case is the one place where all relevant facts are documented and linked together in a cohesive story
- A Business Case is a rigorous (and usually financial) advocacy of a preferred course of action
- A Business Case is a tool that supports planning and decision-making
- An effective Business Case is a multi-purpose document that generates the support and participation needed to turn an idea into reality
- Business Case definition is a key factor for achieving strategic clarity – a starting point for effective management of change.

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What is a Business Case?

- If we used those underlined words; what might our definition look like?
  - A Business Case provides persuasive reasoning in support of the advocated idea by telling a story using relevant information that describes why the decision to change the existing reality is justified
- But stories can be fiction or non-fiction, so as an organisation we need to be able to assess what we are being told before authorising a project and committing resources.

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What is a Business Case

- We must not be naive when we read a Business Case
  - It is written to get the preferred option authorised
  - It is written by people with a vested interest in the outcome
  - It is written to win a share of valuable scarce resource in competition with other projects.

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Some Key Components

- The request, e.g. “this paper seeks authority for £21.8m to…” summarised in one or two lines
- The key numbers
  - Approval request (Total Expenditure, Capital Expenditure, Operational Expenditure, One-off Benefits, Recurring Benefits, Steady-state Benefits)
  - Case economics (NPV, IRR, Payback etc.)

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Some Key Components

- Background – AS IS
- Strategy – TO BE
- Benefits
  - Time, cost and quality – The eternal triangle
  - Time, Inventory, Motion, Waste, Overproduction, Over processing, Defects
- Key risks and dependencies
- Financial summary
  - Cash flow
  - Impact on existing business plans and other investments

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Some Key Components

- Sensitivities
- Key Performance Indicators
- Conclusion and Recommendations
- Alternatives considered
- Outline deployment plan
- Review and approval or concurrence process

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Definitions you may encounter

- A few financial definitions might be helpful:
  - Capital Expenditure (CapEx): Investments creating future benefits through the acquisition or upgrading of physical assets (e.g. buying a new machine)
  - Operational Expenditure (OpEx): Expenses related to the production of its goods and services (e.g. salaries)
  - One-off Benefits: Benefits received once as a result of the project such as the sale proceeds of a building we are vacating
  - Recurring Benefits: Benefits we will receive again and again such as the reduction in our gas and electricity bills as a result of selling the building
  - Steady-state benefits: The (recurring) benefits we will be receiving once the project is fully deployed

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Definitions you may encounter (Cont')

- Cash flow: Incomings and Outgoings of cash, over the life of the project (e.g. by month, quarter or year)
- Sensitivities: Analysis of the effect of changes to key assumption on the Business Case economics
- Key Performance Indicators: The measures by which the success of the project will be measured (usual in addition to money); e.g. transaction time, headcount, customer satisfaction, CO2 emissions etc although these may have a cash value too

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Definitions you may encounter (Cont')

- Net Present Value (NPV)
  - The present value of an investment's future net cash flows minus the initial investment. If positive, the investment should be made (unless an even better investment exists), otherwise it should not.
  - The difference between the present value of cash inflows and the present value of cash outflows. NPV is used in capital budgeting to analyze the profitability of an investment or project.

$$NPV = \sum_{t=1}^{T} \frac{C_t}{(1+r)^t} - C_0$$

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Definitions you may encounter (Cont')

- Internal Rate of Return (IRR)
  - The discount rate often used in capital budgeting that makes the net present value of all cash flows from a particular project equal to zero.
  - Generally speaking, the higher a project's internal rate of return, the more desirable it is to undertake the project. IRR can be used to rank several prospective projects a firm is considering.
  - IRRs can also be compared against prevailing rates of return in the securities market. If a firm can't find any projects with IRRs greater than the returns that can be generated in the financial markets, it may simply choose to invest its retained earnings into the market

$$x_0 = 10\%$$

$$x_n = x_{n-1} - \frac{f(x_{n-1})}{f'(x_{n-1})}$$

Definitions you may encounter (Cont’)

- Payback period
  - How long does it take for an investment to pay for itself?
  - How long does it take for incoming returns to cover costs?
  - How long does it take for the investment to break even?

Payback Period = Y + (A / B) where
Y = The number of years before final payback year
A = Total remaining to be paid back at the start of the payback year, to bring cumulative cash flow to 0
B = Total (net) paid back in the entire payback year

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What makes it compelling

- The most successful Business Cases (the ones that get authorised) are the ones that provide a compelling case for change and a clear indication of how the promised benefits will be generated
- To make our Business Case compelling we must understand:
  - The project's fit with business strategy
  - The short, medium and long-term constraints of the organisation (e.g. cash flow, change-loading etc)
  - Who the key stakeholders are, what they want and what their attitude is likely to be toward the project at the outset

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Investment Appraisal

- Investment appraisal's role is;
  - To determine whether an investment is worthwhile
  - To determine an investment's relative worth when compared with what else the organisation could do with the same resources e.g.
    - Keep the money in the bank

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Economic Hurdle Rates

- One of the ways Investment Appraisal may measure the worthwhile-ness of a project is to make financial comparisons against a set of pre-determined measures or hurdles e.g.
  - How soon the project must payback
  - The minimum level of NPV generated
  - The IRR percentage which could be different for different types of investment
    - i.e. a lower % for money needed to replace a worn out machine than for money to automate an existing manual process because of the level of risk involved

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What does an authorised Business Case mean?

- So you've finally got your Business Case authorised…
  - That doesn't mean you can just run off and start spending money!
- It means you can move to the next phase of the project lifecycle, which depending on the project, could involve;
  - The procurement process
  - Detailed design
  - Employee consultation etc
  - Recruiting (a project team) etc

What does an authorised Business Case mean?

- The Business Case is a snap shot of what we think at a moment in time and a prediction of what will happen, sometimes years in the future
  - It starts to go out of date almost immediately and so we need to look after it… it has to last us for the rest of the project's life
  - We compare against reality against the authorised Business Case a regular intervals and
  - Assess whether what we think will happen in future years has changed as a result
- Ultimately we will be held accountable via the Post Implementation Review for delivering what we have said we will deliver

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Change Control

- As soon as the Business Case is authorised it is ‘frozen’ which means;
  - if we want to change it or anything on which it relies we must do it in a managed way that assesses the impact of change:
    - On the key financial measures
    - On the KPIs
    - On the deployment plan
    - On risks
    - On stakeholders

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Change Control

- We will look at the Request For Change (RFC) process in a later session
- But remember that throughout the project the Business Case is a constant reference of what we have been authorised to do and with what resources
- The Business Case should be updated and reviewed at regular intervals and we should ask ourselves each time we do this whether we can still deliver the Business Case benefits and if not seek guidance from our project or programme board according to the project management methodology we are using

The Business Case during the project lifecycle

- E.g. In PRINCE2 the Business Case is updated at the end of every stage

